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(b) Rectification of two-sided errors before preparing the trial balance

When a two-sided error is detected before preparing the trial balance, it must be rectified by passing a rectifying journal entry in the journal proper after analysing the error.

Practical steps to be followed in rectifying two-sided errors

Step 1	Write the wrong entry (the entry which has already been passed in the books)	Wrongly done
Step 2	Write the correct entry (the entry that should have been passed in the books)	Not done
Step 3	Make the rectifying entry [the net effect by cancelling the wrong account (debit or credit) in the wrong entry by reversing it and recording the correct account in its place (debit or credit)]	To be done

Illustration 6

The following errors were located before the preparation of the trial balance. Rectify them.

(a) Goods sold to Anand for ` 1,000 on credit was not entered in the sales book.

(b) An amount of ` 400 paid for repairs to the machinery stands wrongly posted to machinery account.

(c) Salaries ` 2,000 paid to Gandhiraj was wrongly debited to his personal account in the ledger.

Solution

	Particulars		L.F.	Dr. `	Cr. `
a	Anand A/c	Dr.		1,000	
	To Sales A/c				1,000
	(Being the sale of goods to Anand not entered in sales book, now rectified)				
b	Repairs A/c	Dr.		400	
	To Machinery A/c				400
	(Being the repairs wrongly debited to machinery account, now rectified)				
c	Salaries A/c	Dr.		2,000	
	To Gandhiraj A/c				2,000
	(Being salaries paid to Gandhiraj wrongly debited to his account, now rectified)				